ator labs in 15,000 schools and 500 colleges, an initiative Sitharaman described as "creating pathways from classrooms to creator careers".

More broadly, the finance minister identified the digital and creative economy as "the next frontier of employment and exports", backing the vision with a combined Rs 2,000 crore allocation. Beyond the Orange Economy, Rs 600 crore has been earmarked for artificial intelligence, cloud and data infrastructure. The remaining funds will be channelled through skilling and education ministries to prepare young workers for emerging roles.

The twin emphasis on creativity and computation positions these sectors as engines of employment, entrepreneurship and outward-facing growth for a young, digitally connected workforce.

THE FUTURE BET

- **Content creator labs across 15,000 schools and 500 colleges to convert creative skills into employment and industry-ready capacity**
- **Funding for AI, cloud and data infrastructure to strengthen India's position in high-value technology and services exports**



"The focus on basic Creative Arts, Performing Arts, Design, coupled with technical skills and knowledge through the formative years of schooling and with higher education is a revolutionary step. The well-equipped AVGC-XR labs and train-the-trainer programmes across India will lay a rock-solid foundation for building Indian leadership in the Orange Economy"

— ASHISH S.K., Former Chairman, FICCI AVGC-XR Forum, & Founding Director, Indian Institute of Creative Technologies

It comes as New Delhi prepares to project India as an advocate of responsible innovation and pushes for the democratisation of AI. The digital thrust also aligns with the government's effort to present a forward-looking economic narrative, particularly with the 18–35 age group now accounting for more than 40 per cent of the electorate. By foregrounding opportunities in gaming, animation and AI-linked employment, the focus shifts towards aspiration and upward mobility.

On the technology front, tax incentives for data centres and extended safe-harbour thresholds for IT service exports accompany the infrastructure push. Globally, however, India continues to trail major peers: it holds less than 3 per cent of worldwide data centre capacity, compared with roughly 40 per cent in the US and 15 per cent in China. Even the European Union has announced a $30 billion (Rs 2.7 lakh crore) AI infrastructure plan while India's public investment in AI remains modest in comparison. Against this backdrop, the budget's approach appears forward-looking but fiscally measured. Translating ambition into outcomes will require sustained multi-year funding, regulatory clarity and close Centre–state coordination to build scale and competitiveness. ■

Reframing education as productive infrastructure for a services-led economy, Budget 2026 strove to bring higher education closer to industry, logistics, research and employment hubs. The centrepiece of this approach was the proposal to create five university townships near major industrial corridors in different parts of the country—ecosystems clustering universities, research institutions, skill centres and housing so that learning, innovation and employment coexist. Both the Centre and states will work together to develop infrastructure for these universities.

BUDGET SHARE

2.8%

Share of Education and Skill Development in the total Union expenditure of ₹ 53.47 lakh crore, unchanged from 2025-26

Former UGC chairman Mamidala Jagadesh Kumar views the proposal as a potential quality intervention under National Education Policy 2020 if designed as industry-linked platforms. He cites global clustering models as evidence. However, some experts argue that university townships risk diverting attention from improving academic quality. Dinesh Singh, chancellor of K.R. Mangalam University, warns that they may repeat India's mistake of isolating campuses from real-world ecosystems. He notes that institutions like Stanford and Cambridge